

September 3, 2026 04:01 AM GMT

Software | North America

Signs of Life: Making the Case That SaaS Is ALIVE

Recent large-cap SaaS prints offered early signs that SaaS is ALIVE, softening the AI bear case despite limited estimate upside. A durable rerating still requires clearer proof of AI monetization, margin resilience and reacceleration; CRM screens incrementally better on our Moat & Journey framework.

Key Takeaways

- 2Q results softened the 'SaaS is dead' thesis, but a durable rerating still needs stronger AI monetization & paths to growth acceleration with margin resilience
- In the Bull case, SaaS remains ALIVE through App Control (A), Less Seat Dependence (L), Inference Leverage (I), Value Expansion (V) & Embedded Distribution (E)
- Greater proof points of this bull case would make us more constructive on the group to sustain share-price momentum beyond the largely sentiment driven rebound
- We remain positive on NOW and TEAM, supported by durable moats, improving growth setups, and rising agent usage providing incremental monetization levers
- We are less convicted in WDAY and INTU near-term, while becoming modestly more positive on CRM given rate of change improvement in upside to guidance

Down but Not Out. After underperforming the S&P 500 by ~20 points over the past year, large-cap application SaaS recently began to push back on the “SaaS is dead” narrative. Forward estimate revisions from large cap application stalwarts (CRM, NOW, WDAY, INTU, TEAM) were similarly muted following the CY2Q26 and CY2Q25 prints, but stock reactions diverged sharply: companies with CY27 revenue revisions of +/-1% outperformed the broad software group by an average 18% in the five days after CY2Q26 results, versus 4% underperformance following comparable CY26 revisions a year ago ([Exhibit 1](#)). Lower starting valuations contributed—group EV/FCF and P/GAAP Earnings entered earnings season roughly 60% below the three-year average ([Exhibit 2](#) & [Exhibit 3](#)) —but we believe the more important driver was a shift in sentiment as the AI bear case has yet to materialize. **While 2Q results did not establish a fundamental case for reacceleration, they provided modest evidence that SaaS remains ALIVE - with Application Control, Less Seat Dependence, Inference Leverage, Value Expansion, and Embedded Distribution providing a moat.** Below, we assess the five pillars of the AI bull case, which will need to strengthen and translate into improving fundamentals to sustain share-price gains beyond the initial valuation and sentiment-driven rebound. Coming out of earnings season, we are incrementally positive on CRM.

Five Reasons SaaS Is ALIVE in the AI Era: Application Control, Less Seat

MORGAN STANLEY & CO. LLC		
Adam Wood		
Equity Analyst		
Adam.Wood@morganstanley.com		+1 212 761-3656
Sanjit K Singh		
Equity Analyst		
Sanjit.Singh@morganstanley.com		+1 415 576-2060
Elizabeth Porter, CFA		
Equity Analyst		
Elizabeth.E.Porter@morganstanley.com		+1 212 761-3632
Chris Quintero		
Equity Analyst		
Chris.Quintero@morganstanley.com		+1 212 761-1686
Ryan Lountzis		
Equity Analyst		
Ryan.Lountzis@morganstanley.com		+1 212 761-3189
Kathleen A Keyser		
Research Associate		
Katie.Keyser@morganstanley.com		+1 212 761-0518

SOFTWARE	
North America	Attractive
Industry View	

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Dependence, Inference Leverage, Value Expansion, and Embedded Distribution.

1) Application Control – Software Will Remain the Foundational Layer on Which Agents Operate, Rather Than the Primary Target of Replacement. The bull case begins with an architectural distinction: frontier models provide probabilistic reasoning, while enterprise applications provide the governed data, permissions, business logic, and workflows required to translate that reasoning into action. Thus, agents may increasingly abstract the user interface, but they still require systems of record to establish the workflow layer that consists of the harness + scaffolding (context and systems of execution to complete transactions reliably). Through this lens, the interface can migrate toward products from model labs, collaboration tools such as Slack, or other agentic surfaces without displacing the underlying application. In the bull case, software platforms become more deeply embedded as the deterministic execution layer beneath a growing volume of agent activity, and the source of application value shifts from ownership of the primary user interface toward control of the governed enterprise context and execution environment through which agents act. As a result, *interface* disintermediation does not imply *economic* disintermediation.

- **What Did We Learn on 2Q Prints?** At **CRM**, 9 of the top 10 AI companies use Salesforce and Slack, with spend in this cohort up 435% YoY in 2Q, supporting the idea that frontier-model vendors are building on Salesforce's governed data and workflow layer, not replacing it. At **NOW**, AI Control Tower has reached >500 live customers within six months, giving enterprises a single view to discover, govern, and secure AI systems across heterogeneous environments. With the platform connecting to any model or data provider, the early traction supports the bull case that ServiceNow can become a centralized application control plane for enterprises. At **TEAM**, the Teamwork Graph is accessible to agentic harnesses through MCP and CLI, with MCP calls up 400% in the quarter and combined MCP/CLI users >1M, more than doubling sequentially. The addition of native third-party agents within Jira further reinforces Atlassian's opportunity to serve as the enterprise context and orchestration layer across both first- and third-party agents. At **WDAY**, agent adoption surged as more than 5,500 customers are using one or more organic agents, up more than 35% QoQ. AI products drove more than \$100 million of new ACV (25% of all new ACV in 2Q). At **INTU**, millions of customers are using their AI-native experiences, like getting paid 4 days faster and reducing manual work by 30%. Over 75% of Intuit Enterprise Suite customers use their AI agents every month to keep their books current.

2) Less Seat Dependence – Seat Erosion Does Not Imply TAM Erosion. As agents perform more work in the background, traditional usage metrics such as seats, logins, and time spent in the application may decline even as overall platform activity increases. A single agent workflow can generate many API or MCP calls, data requests, tool actions, and downstream transactions without the user ever opening the application. This should increase demand for the software, data, and governance systems that agents rely on to complete their work. Application vendors

can monetize that activity through premium editions, consumption pricing, API access, data services, agent actions, or completed workflows and outcomes. Natural-language interfaces may also bring application functionality to employees who were not previously licensed users. As a result, value may increase on the growth of agents, actions, data usage, and outcomes—not seats alone. Further, 2Q results have not shown broad-based seat contraction; seats are generally still growing. This suggests agent usage may initially add to existing demand rather than replace it. **The key risk here though is during the transition phase** as companies shift their pricing models from primarily seat-based to hybrid models (platform fees + consumption fees). In these transitions, we have seen how seat reductions can become a near-term headwind on ACVs as the consumption portions of the new contracts likely are low given it takes time for that usage to ramp over time.

- **What Did We Learn on 2Q Prints?** At **CRM**, Sales, Service, and Slack seats all grew YoY, while agentic platform usage increased 6x through MCP and model lab agent calls, reaching 3.2 billion Agentic Work Units in 2Q (+97% QoQ), supporting evidence that agents are adding consumption rather than cannibalizing seats. At **NOW**, 50% of net new business is already non-seat based, with that proportion set to expand over time. Moreover, management noted that active seats continue to expand, while consumption can ultimately supplement or replace seat-based monetization – helping disprove the cannibalization component of the investor bear case. At **TEAM**, cloud upside came from paid-seat expansion as well as encouraging cross-sell with strength across Service Collection (accelerated in Q4) and Teamwork Collection. At **WDAY**, 200 customers signed onto Flex Credits (consumption-based pricing) in Q2, with management guiding to significant growth in 2H, though acknowledging a "delayed gratification" revenue profile as consumption ramp. At **INTU**, management is deliberately accepting lower initial DIY tax ARPC to prioritize customer lifetime value, with cross-platform customers generating ~2x average revenue per customer and Credit Karma members filing through TurboTax growing more than 50% YoY, demonstrating that platform breadth, not per-seat pricing, drives monetization.

3) Inference Leverage – Model Commoditization Improves SaaS Differentiation and Margins. As foundation and open-weight models become more interchangeable, differentiation and economic value may shift toward the application layer. SaaS platforms can serve as the governed orchestration layer across frontier, open-weight, and specialized models—selecting the right model, invoking tools, accessing enterprise systems, and completing workflows. This capability depends on the proprietary data, permissions, a semantic understanding of data and workflows, and execution environments embedded in application software. Vendors could monetize this orchestration through pricing tied to agents, workflows, actions, or outcomes, making model proliferation a revenue opportunity as well as a cost lever. At the same time, lower inference costs and model routing should reduce AI COGS and dependence on any single provider, limiting gross-margin pressure or funding lower prices and richer products that drive usage. The key question is how much of these

savings vendors retain versus pass to customers (history suggests the former). Vendors that control the workflow and deliver the business outcome should capture more of the value. We look for rising AI and consumption revenue alongside stable—and eventually improving—gross margins as agentic usage scales to support the bull case.

- **What Did We Learn on 2Q Prints?** At **NOW**, more than 20 years of operational context and intelligence generated across 7 trillion workflows provide a differentiated foundation for enterprise inference. The company's agnostic positioning also enables it to route tasks across open-weight, internally developed, and frontier models, allowing it to optimize outcomes and cost as the model layer becomes commoditized. At **TEAM**, context remains the moat as model commoditization becomes more prevalent. The Teamwork Graph incorporates 25 years of work data and >200B objects and connections, enabling grounded agents to generate up to 44% more accurate answers while consuming 48% fewer tokens – improving both the quality and economics of enterprise inference. At **WDAY**, the company's single unified data and security model, which legacy competitors with multiple product versions structurally cannot replicate, provides a differentiated inference foundation, while model agnosticism across small, open-weight, and frontier models enables cost optimization and proprietary fine-tuning. At **INTU**, decades of proprietary financial data combined with domain-specific models built for tax and accounting accuracy form the inference moat, with management committing to company-level margin expansion even as AI mix increases, signaling intent to capture, not pass through, model commoditization savings.

4) Value Expansion – AI Expands the Addressable Budget from Software to Labor Spend. A key part of the bull case is that AI applications may address not only IT budgets, but also the much larger pool of labor spending. Historically, software has been priced around productivity gains—faster processes, fewer errors, more standardized workflows, and higher employee output. As applications begin to automate or directly perform work, vendors can increasingly price against labor capacity created, costs avoided, and outcomes delivered. This could expand TAM beyond traditional software spend rather than simply shift dollars within IT. However, the transition will likely be gradual, as enterprises must redesign workflows, establish governance and accountability, and prove ROI before reallocating budgets toward digital labor. Near term, vendors are more likely to monetize through premium editions and higher-tier bundles, with consumption- and outcome-based pricing gaining importance as autonomous usage scales. As a result, revenue may lag improvements in product capability.

- **What Did We Learn on 2Q Prints?** At **CRM**, agentic SKU carries a 60–80% price premium relative to traditional seats, but remains only ~5% penetrated, highlighting both substantial monetization runway and the likelihood that AI revenue will lag product capability as adoption scales. At **NOW**, AI ACV crossed >\$1B, deals including five or more AI products grew 5.5X YoY, and

the number of customers with agentic AI in production has grown 9X over the trailing nine months – putting the company well on the path to achieve its \$1.5B AI ACV target and highlighting the value of ServiceNow's AI SKUs, particularly with higher tier options carrying a 30% pricing uplift. At **TEAM**, Rovo adopters continue to grow ARR at more than twice the rate of non-adopters, while Teamwork customers have four to five times more paid seats per instance than standalone Jira or Confluence customers. Overall, AI-driven value appears to be translating into stronger cross-sell and solid NRR trends. At **WDAY**, AI SKUs reached nearly \$600M ARR (up 200%+ YoY, 20%+ QoQ), with management explicitly targeting labor spend as the addressable budget, modeling AI agent pricing against the share of labor cost transferable to agent workflows for specific task groups. At **INTU**, the mid-market business grew 39% YoY with expanding payroll and payments penetration, while "done-for-you" AI experiences like getting customers paid 4 days faster and reducing manual work by 30% represent early outcome-based value delivery against a nearly \$200B TAM that is only 7% penetrated.

5) Embedded Distribution – Distribution Remains a Durable Competitive

Advantage. Incumbent software vendors should play a meaningful role in driving enterprise AI adoption because deployment, integration, and trust remain as (if not more) important as model performance. These vendors already have customer relationships, approved contracts, integrated data, security permissions, and workflows adapted to each customer's operating environment. This can materially reduce the time and friction required to move agents from pilot to production. Their installed bases also provide a lower-cost channel to introduce AI features, cross-sell adjacent products, and expand usage within existing accounts. As production usage grows, vendors gain feedback on workflows, exceptions, and outcomes, helping improve product quality and deepen their contextual advantage. Distribution is therefore not only a go-to-market moat, but also an input into faster product iteration and more effective monetization.

- **What Did We Learn on 2Q Prints?** At **CRM**, Agentforce ARR (now including Slackbot/Headless 360) grew 240% YoY to \$1.5B+, delivering strong growth at this scale, while Uber for Business launched Agentforce in just six weeks, demonstrating the deployment and adoption leverage of Salesforce's embedded data and workflows. Out-of-the-box agents together with apps and data layer are able to get agents into production in 30-45 days, signaling fast time to market. At **NOW**, the company's base of 658 customers generating >\$5M in ACV, strong enterprise footprint, and earlier AI ACV penetration opportunity leave ample headroom for the company to drive a reacceleration in growth as consumption-related pricing mechanisms begin to flow through later this year. At **TEAM**, Atlassian is already present in 85% of the fortune 500 (Rovo used by >80% of F500) and serves >350K customers. Opening Teamwork Graph through MCP/CLI extends that installed workflow footprint to third-party agents, with MCP users creating 4X more Jira work items and Confluence pages and growing ARR at twice the rate of non-users. At **WDAY**, the Deployment Agent is live with 4,600+

customers and nearly 24,000 users, with query volumes up ~500% in Q2 and a long-term target of reducing deployment task time by 80–90%. More than half of the customer base has already migrated to the Universal Main Service Agreement (UMSA), giving Workday a governed on-ramp to introduce AI products across its installed base. At **INTU**, 150,000+ accountants on the Intuit Accountant Suite platform, driving 25% of new Intuit Enterprise Suite contracts, serve as a high-trust embedded distribution channel into the mid-market, while TurboTax expansion through leading LLM surfaces positions Intuit to benefit from AI-native discovery rather than be disrupted by it.

How Do Our Views Change Coming Out of Earnings? We continue to prefer Infrastructure and Security Software over Applications given Application Software is a later-cycle beneficiary (see [Software: The Moat & The Journey – Assessing Software Durability + Growth in the Age of AI](#)). Within Applications, our view on a strong moat surrounding platform plays was reinforced while our view on the Journey to recognize AI benefits is bifurcated:

Overweights

- **ServiceNow:** Q2 delivered a cleaner and larger beat on cRPO and subscription revenue which provided investors with some level of reassurance in management's ability to drive improvements in growth trajectory through 2H26 and beyond. To that point, the company faces easier 2H compares and early checks point to a solid federal demand backdrop which could be a catalyst for a modest, organic cRPO acceleration. Looking to 2027, we see customer consumption of AI capabilities will be at a point where customers will have to purchase additional capacity bundles bringing a new growth driver to the business. All in, we remain constructive on ServiceNow shares here with a reasonable 2H setup and our prior view of the company's durable moat and attractive AI journey intact.
- **Atlassian:** An encouraging Q4 performance led by cloud growth accelerating (again) and a strong FY27 cloud guide has driven a sustained positive stock reaction post-EPS. More broadly, the company has demonstrated it can grow seats while executing agentic workflows leveraging its powerful data and context engine (Teamwork Graph) more quickly and at a lower cost per token than using a standalone agent/coding agent. In addition, usage of Atlassian's intelligence and agentic capabilities is growing rapidly such that customers are already exceeding capacity thresholds. Thus far, management has refrained from monetizing this excess usage but we think this represents an attractive growth opportunity over the medium-term. With seat-based concerns fading and clear signs of progress on the AI journey, we reiterate our positive view on Atlassian.

Equal-weight, Leaning Tactically Positive

- **Salesforce:** A return to modest beats to Q2 CRPO reflects rate of change improvement relative to in-line prints the prior two quarters. However, organic CC subscription revenue growth continued to moderate (to 7% from 8%) in the quarter despite strong Agentforce ARR growth (accelerating to +240% YoY to \$1.5B), reflecting a longer Journey to position the overall business for re-acceleration. Easier comps should provide relief into 2H but we continue to look for evidence of durable organic acceleration to offset legacy portfolio drags.

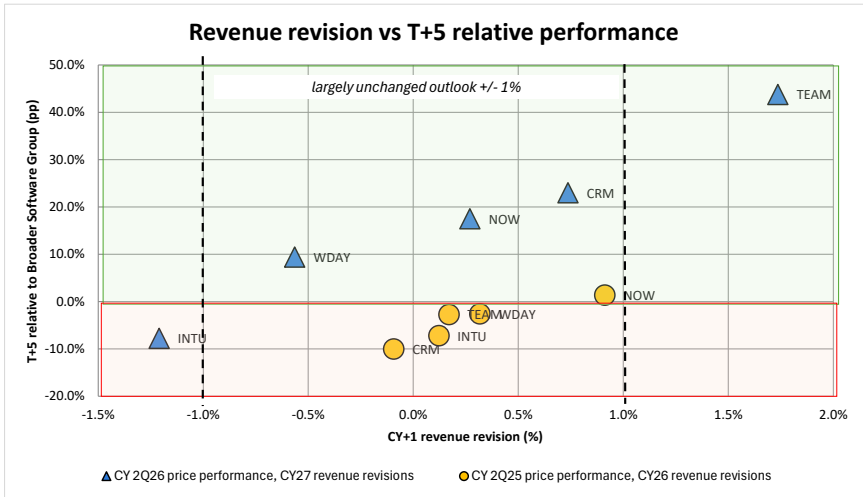
Equal-weight, Leaning Tactically Negative

- **Intuit:** Intuit's F4Q presented a major shift in management's strategy. With competition impacting the TurboTax DIY business, a greater focus on driving new customers is unproven and will not be resolved until F3Q earnings in May 2027. Ultimately, we walked away from F4Q with more questions than answers, likely limiting more value investors from stepping in here at 15X GAAP PE.

Underweight

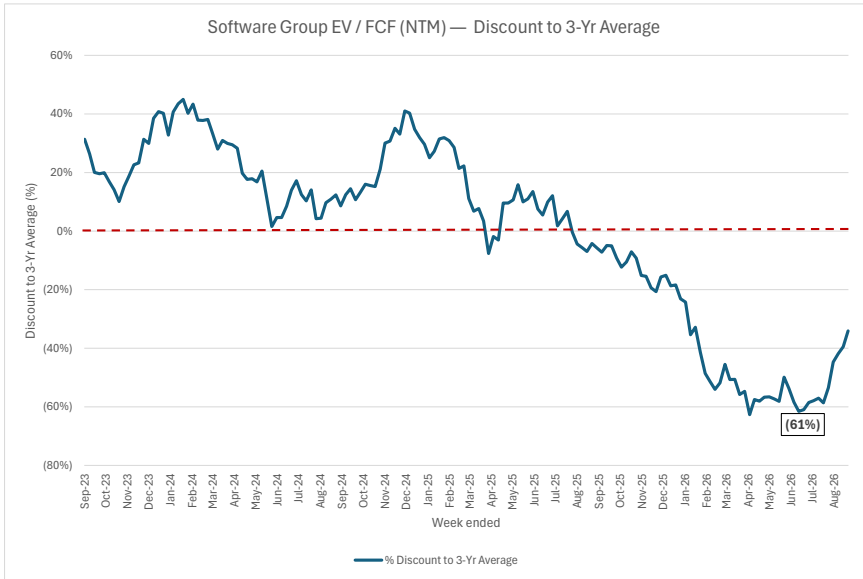
- **Workday:** Q2 was largely an in-line quarter for Workday, but management's early guide for 11% subscription revenue growth in FY28 suggests growth could be stabilizing with potential levers for upside / acceleration. The AI product traction Workday is seeing is real and counters the bear case, but enterprise adoption of AI in critical workflows like HR and finance will take time. This pushes out the monetization timeline, something management acknowledged given their primary focus is to drive AI adoption right now. As such, we still see AI meaningfully contributing to growth a few quarters away, so we would fade the near-term outperformance.

Exhibit 1: Q2 prints with roughly unchanged (+/- 1%) FY1 revenue outlooks were punished in CY25, but rewarded in CY26



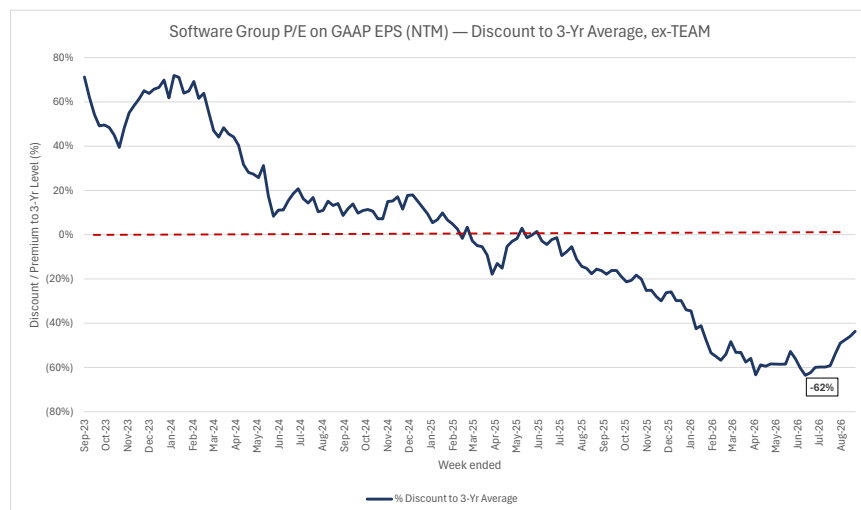
Source: Company Data, Morgan Stanley Research

Exhibit 2: Average EV/FCF multiple traded to a 60% discount to the 3-year average heading into earnings...



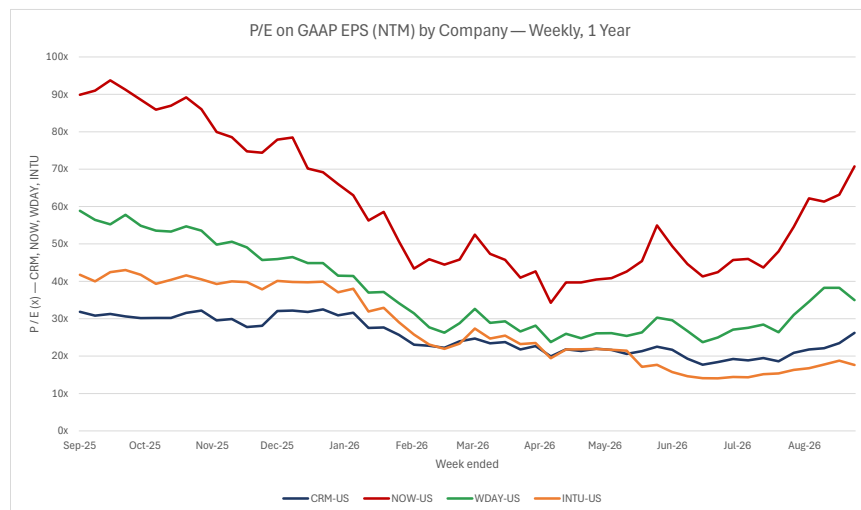
Source: Company Data, Morgan Stanley Research

Exhibit 3: ... With the Discount to the 3-Year Average Similar on GAAP EPS (~60%)



Source: Company Data, Morgan Stanley Research

Exhibit 4: GAAP Earnings Multiples Across the Large-Cap SaaS Group Remained Depressed Relative to the Year Ago Period Heading into C2Q26 Results



Source: Company Data, Morgan Stanley Research

Valuation Methodology and Risks

Salesforce, Inc. (CRM.N)

Based on a 12x multiple applied to our FY29e FCF per share of ~\$22, discounted back at ~10%, adding back (\$13) net cash per share.

Risks to Upside

- Quicker than expected, effective monetization of Gen AI products / headless initiatives
- Announcements of significant new cost cutting initiatives
- Larger buyback authorizations & faster deployment of buybacks

Risks to Downside

- Agentforce / Headless initiatives fail to stabilize growth
- GenAI investments weigh on margins
- Demand for new CRM front-office solutions crowded out as enterprises utilize alternative platforms

Intuit (INTU.O)

~14x Base Case GAAP CY27e EPS of \$22.62, implying a PEG ratio of 0.8x, below large cap software peers at 1.4x.

Risks to Upside

- Accelerating growth at TurboTax Live and Full Assist
- Greater adoption of QBO Advanced and IES
- Further efficiencies lead to greater margin expansion

Risks to Downside

- Competitive pressures intensify, leading to further share losses at TurboTax
- QBO growth disappoints as adoption of Advanced slows
- A slowing macro environment negatively impacts the more macro sensitive Credit Karma and Mailchimp businesses

ServiceNow Inc (NOW.N)

Discount of 21x Base Case CY30e FCF of ~\$11.8B, discounted back at 11.9% WACC, plus \$7 in CY26 net cash per share. 21x multiple supported by 19% 2-yr FCF CAGR in CY28-CY30.

Risks to Upside

- Greater than expected share gains in new markets as upsell and cross-sell motion takes hold;
- Superior unit economics drive faster than expected FCF growth;
- Improving traction with Federal Government

Risks to Downside

- Tougher competition from low-end vendors and SaaS peers;
- Sales productivity may decline as with growth if new markets prove challenging;

- Seat-based pricing proves more difficult amidst GenAI disruption

Atlassian Corporation PLC (TEAM.O)

Discount of 17x on Base Case CY29e FCF of \$3.4B. Supported by ~17% CY25-CY29 Revenue CAGR and Operating margin expanding from 25% in CY25 to 27% in CY29. Our price target implies an EV/CY27 FCF multiple of 24x, a modest premium to the large cap software median.

Risks to Upside

- Better than expected margin expansion, driven by cloud unit economics, drives rapid FCF growth.
- Price increases, recent acquisitions, and focus on IT teams drives faster reacceleration

Risks to Downside

- AI-driven productivity gains among software developers and knowledge workers pressures enterprise headcount
- Competition from emerging AI-native alternatives and in-house development
- Pricing model transition

Workday Inc (WDAY.O)

20x Base Case CY27e FCF ex-SBC, more in-line with mature-at-scale peers.

Risks to Upside

- AI product adoption accelerates
- Greater margin expansion

Risks to Downside

- Legacy vendors holding onto their bases better
- Lack of operating leverage
- Growth continues to decelerate

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Ryan Lountzis; Elizabeth Porter, CFA; Chris Quintero; Sanjit K Singh; Adam Wood.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

The analyst or strategist (or a household member) identified below owns the following securities (or related derivatives): Ryan Lountzis - Cloudflare Inc (common or preferred stock); Elizabeth Porter, CFA - Microsoft (common or preferred stock).

As of July 31, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., Descartes Systems Group Inc, DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, Klaviyo, Inc, Lightspeed Commerce Inc., Liveramp Holdings Inc, Manhattan Associates Inc., Microsoft, monday.com Ltd, MongoDB Inc, Nebius Group NV, NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, Salesforce, Inc., Samsara Inc, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, ZoomInfo Technologies Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Akamai Technologies, Inc., Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, DigitalOcean Holdings Inc, Dynatrace Inc, Intuit, Navan Inc, Nebius Group NV, Netskope, Inc., Salesforce, Inc., ServiceNow Inc, Via Transportation Inc, Wix.Com Ltd. Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Akamai Technologies, Inc., Autodesk, Blackline Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, DigitalOcean Holdings Inc, HubSpot, Inc., Intuit, Microsoft, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., RingCentral Inc, Salesforce, Inc., ServiceNow Inc, Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., Descartes Systems Group Inc, DigitalOcean Holdings Inc, DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, Lightspeed Commerce Inc., Liveramp Holdings Inc, Microsoft, monday.com Ltd, MongoDB Inc, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, SailPoint Inc, Salesforce, Inc., Samsara Inc, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Box Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, DigitalOcean Holdings Inc, DocuSign Inc, Dynatrace Inc, Figma Inc, Five9 Inc, Freshworks Inc, Gen Digital Inc., GitLab Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, Microsoft, monday.com Ltd, MongoDB Inc, NICE Ltd., Oracle Corporation, Palantir Technologies Inc., Palo Alto Networks Inc, RingCentral Inc, SailPoint Inc, Salesforce, Inc., SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Snowflake Inc., Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., Descartes Systems Group Inc, DigitalOcean Holdings Inc, DocuSign Inc, Dynatrace Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, Lightspeed Commerce Inc., Liveramp Holdings Inc, Microsoft, monday.com Ltd, MongoDB Inc, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., Okta, Inc., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, SailPoint Inc, Salesforce, Inc., Samsara Inc, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Box Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CrowdStrike Holdings Inc, Datadog, Inc., DigitalOcean Holdings Inc, DocuSign Inc, Dynatrace Inc, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, Microsoft, monday.com Ltd, MongoDB Inc, Nebius Group NV, NICE Ltd., Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, RingCentral Inc, SailPoint Inc, Salesforce, Inc., SentinelOne, Inc.,

ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Tenable Holdings Inc, Toast, Inc., Twilio Inc, UiPath Inc, Varonis Systems, Inc., Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

An employee, director or consultant of Morgan Stanley is a director of Elastic NV, Tenable Holdings Inc. This person is not a research analyst or a member of a research analyst's household. Morgan Stanley & Co. LLC makes a market in the securities of Amplitude Inc., Appian Corp, Asana Inc, Autodesk, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Elastic NV, Five9 Inc, Liveramp Holdings Inc, Manhattan Associates Inc., PagerDuty, Inc., Qualys Inc, Rapid7 Inc, RingCentral Inc, Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Twilio Inc, Varonis Systems, Inc., Vertex Inc., ZoomInfo Technologies Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of August 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

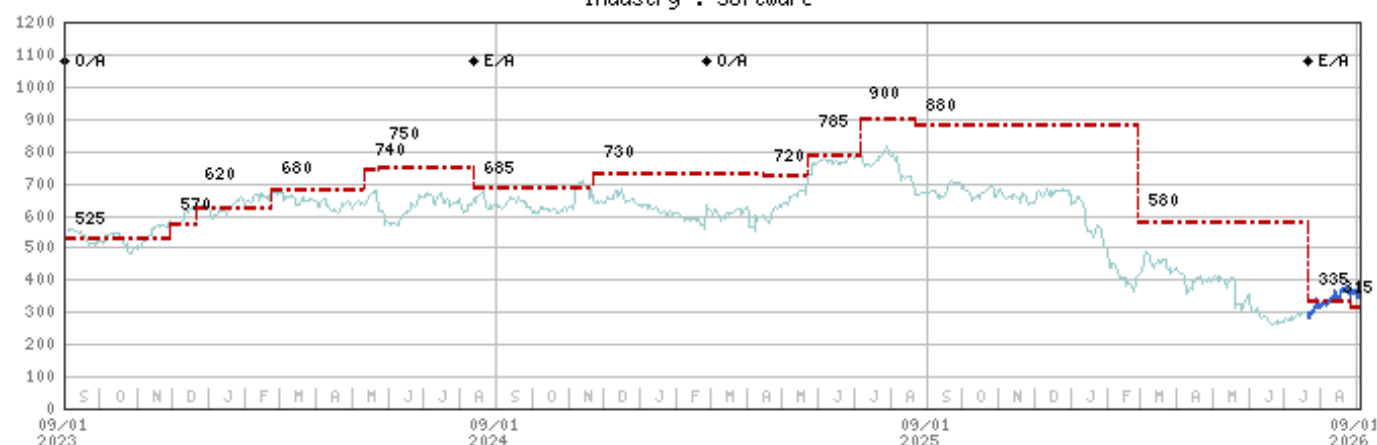
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Atlassian Corporation PLC (TEAM.O) - As of 09/02/26 GMT in USD
Industry : Software



Intuit (INTU.O) - As of 09/03/26 GMT in USD
Industry : Software



Salesforce, Inc. (CRM.N) - As of 09/03/26 GMT in USD
Industry : Software

Stock Rating History: 9/1/21 : O/A; 7/31/23 : E/A; 12/21/23 : O/A; 7/21/26 : E/A

Price Target History: 8/26/21 : 305; 9/23/21 : 345; 11/1/21 : 360; 5/16/22 : 291; 8/16/22 : 273; 12/1/22 : 250; 12/19/22 : 228; 1/30/23 : 236; 3/2/23 : 240; 6/1/23 : 251; 7/31/23 : 278; 11/30/23 : 290; 12/21/23 : 350; 5/30/24 : 320; 8/28/24 : 330; 12/4/24 : 405; 4/15/25 : 393; 5/29/25 : 404; 9/2/25 : 405; 12/8/25 : 398; 2/23/26 : 287; 7/21/26 : 185; 8/27/26 : 235

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

ServiceNow Inc (NOW.N) - As of 09/02/26 GMT in USD
Industry : Software

Stock Rating History: 9/1/21 : O/A; 10/21/24 : E/A; 9/24/25 : O/A

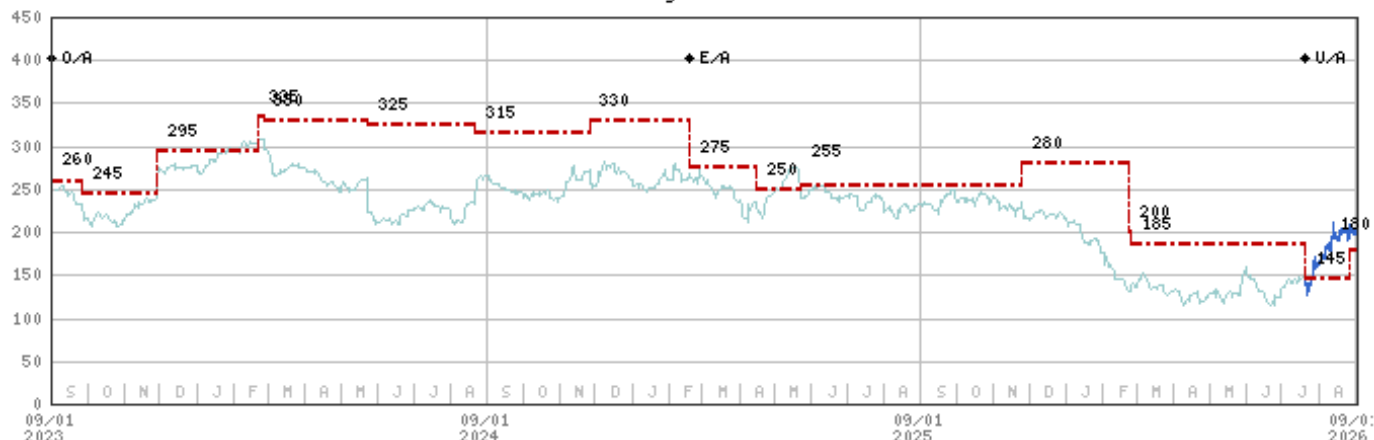
Price Target History: 7/29/21 : 140; 10/4/21 : 159.2; 10/28/21 : 161.4; 1/27/22 : 162; 4/28/22 : 149; 5/18/22 : 118.8; 7/14/22 : 115; 7/27/22 : 111.2; 10/19/22 : 108; 10/26/22 : 104; 12/19/22 : 122.4; 5/9/23 : 117.2; 7/26/23 : 126; 10/26/23 : 129.6; 12/21/23 : 159.4; 1/25/24 : 162.8; 4/25/24 : 166; 7/25/24 : 180; 10/21/24 : 192; 4/15/25 : 176.2; 4/24/25 : 190; 7/2/25 : 208; 9/24/25 : 250; 10/30/25 : 263; 1/20/26 : 210; 4/23/26 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Workday Inc (WDAY.O) - As of 09/02/26 GMT in USD
Industry : Software



Stock Rating History: 9/1/21 : O/A; 2/19/25 : E/A; 7/21/26 : U/A

Price Target History: 8/27/21 : 310; 11/15/21 : 340; 5/16/22 : 320; 5/26/22 : 310; 8/16/22 : 282; 11/22/22 : 220; 2/28/23 : 230; 5/26/23 : 250; 8/25/23 : 260; 9/27/23 : 245; 11/29/23 : 295; 2/21/24 : 335; 2/26/24 : 330; 5/24/24 : 325; 8/22/24 : 315; 11/26/24 : 330; 2/19/25 : 275; 4/15/25 : 250; 5/23/25 : 255; 11/25/25 : 280; 2/22/26 : 200; 2/25/26 : 185; 7/21/26 : 145; 8/27/26 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Atlassian Corporation PLC, Microsoft, Workday Inc. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (<https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/>

[MSICPL_Morgan_Stanley_Research_Audit_Report.pdf](#).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory

(Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/02/2026)
Adam Wood		
Adobe Inc. (ADBE.O)	U (07/21/2026)	\$279.79
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$186.44
Intuit (INTU.O)	E (07/21/2026)	\$342.94
Microsoft (MSFT.O)	O (07/21/2026)	\$496.82
Salesforce, Inc. (CRM.N)	E (07/21/2026)	\$256.93
Samsara Inc (IOT.N)	E (03/23/2023)	\$36.79
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$136.72
Shopify Inc (SHOP.O)	O (04/19/2024)	\$141.87
Workday Inc (WDAY.O)	U (07/21/2026)	\$200.87
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$48.76
Blackline Inc (BL.O)	E (07/21/2026)	\$32.18
Box Inc (BOX.N)	E (05/21/2024)	\$34.59
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$7.18
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$78.49
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$65.39
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$216.77
Navan Inc (NAVN.O)	O (11/24/2025)	\$26.90
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$92.17
SPS Commerce Inc (SPSC.O)	U (07/21/2026)	\$82.82
Vertex Inc. (VERX.O)	E (07/21/2026)	\$13.48
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$27.47
Elizabeth Porter, CFA		
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$13.29
Asana Inc (ASAN.N)	U (05/20/2025)	\$9.80
Autodesk (ADSK.O)	O (08/23/2024)	\$241.73
Figma Inc (FIG.N)	E (08/25/2025)	\$25.73

Five9 Inc (FIVN.O)	E (10/10/2022)	\$33.59
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$13.19
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$101.87
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$245.51
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$19.31
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.80
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$94.44
NICE Ltd. (NICE.O)	E (07/21/2026)	\$106.86
RingCentral Inc (RNG.N)	E (08/08/2023)	\$72.58
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$6.95
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$11.34
Toast, Inc. (TOST.N)	O (12/16/2021)	\$34.04
Twilio Inc (TWLO.N)	O (02/24/2025)	\$226.75
Wix.Com Ltd (WIX.O)	E (07/21/2026)	\$86.69
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$30.44
Zoom Communications (ZM.O)	E (10/11/2022)	\$95.86
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$4.09
Meryl R Thomas, CFA		
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	\$10.41
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$133.89
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$203.42
Fortinet Inc. (FTNT.O)	E (07/21/2026)	\$154.54
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$30.65
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$13.75
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$163.15
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$328.48
Qualys Inc (QLYS.O)	U (02/09/2021)	\$170.83
Rapid7 Inc (RPD.O)	U (07/21/2026)	\$11.07
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$18.31
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$19.68
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$34.24
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$46.76
Zscaler Inc (ZS.O)	E (04/22/2026)	\$172.73
Ryan Lountzis		
CoreWeave (CRWV.O)	E (04/22/2025)	\$80.93
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$204.09
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$105.09
Appian Corp (APPN.O)	E (04/30/2026)	\$39.89
C3.ai (AI.N)	U (01/04/2021)	\$10.52
Cloudflare Inc (NET.N)	O (12/02/2024)	\$272.74
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$209.23
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$104.87
Dynatrace Inc (DT.N)	O (08/25/2026)	\$50.87
Elastic NV (ESTC.N)	E (07/21/2026)	\$89.58
GitLab Inc (GTLB.O)	E (01/12/2026)	\$49.59
JFrog Ltd. (FROG.O)	E (07/21/2026)	\$91.73
MongoDB Inc (MDB.O)	O (04/12/2023)	\$375.40
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$145.75
PagerDuty, Inc. (PD.N)	U (07/21/2026)	\$13.77
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$169.46
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$305.84
UiPath Inc (PATH.N)	E (09/07/2022)	\$17.99

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley